

Magnolia Terrace

48-Unit Multifamily Community · Raleigh, North Carolina

Analysis date 2026-09-01 · Trailing twelve months ended 2026-08-31 · Supersedes the 2026-08-31 memorandum, which is retained in the audit archive

Source-backed analysis. Assumptions remain subject to diligence.

CAPITALIZED VALUE

\$10,731,028

UW NOI ÷ 6.0000%

UNDERWRITTEN NOI

\$643,862

Before reserves

PHYSICAL OCCUPANCY

93.75%

45 of 48 in possession

MAXIMUM LOAN

\$6,307,523

DSCR-constrained

NET CASH-OUT

\$1,999,448

After payoff, fee and costs

REPORTED T-12 NOI

\$604,128

Historical, cash basis

OFFERING PROFILE

Property	Magnolia Terrace	Occupied units	45
Market	Raleigh, NC	Pending (no possession)	0
Asset type	Multifamily	Vacant units	3
Total units	48	Annual in-place rent	\$920,400
Total rentable area	40,800 SF	Weighted lease expiry	2029-08-31 (all suites)
Unit mix	16 Studio / 16 1BR / 16 2BR	Street address	Not represented

Not supplied and not invented.

No photographs or imagery, no asking price or pricing guidance, no market sales comparables, no market rent comparables, and no sponsor or borrower history are contained in the source packet. None has been created, estimated or implied anywhere in this memorandum.

Revision 2, effective 2026-09-01. A revised certified roll supersedes the prior roll. Suite 045 has taken possession and its scheduled rent rose \$225 to \$2,150. The capitalization rate widens 25 basis points to 6.0000% and the sizing rate rises 75 basis points to 7.0000%. Every other fact, assumption, constraint and open diligence item is unchanged and is carried forward as previously stated. Page 2 itemizes what moved and what did not.

Diligence status. Legal, environmental, property condition and title reviews are not complete. These are routine pending diligence items, not findings of a defect. The packet supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted here.

REVISION 2 · EFFECTIVE 2026-09-01

What changed, and what did not

The revision notice makes five instructed changes. Everything else in this memorandum is carried forward unchanged from the 2026-08-31 edition, which is retained in the audit archive rather than replaced.

INSTRUCTED CHANGES

ITEM	WAS	NOW	BASIS
Controlling rent roll	2026-08-31	2026-09-01	rent-roll-revised.xlsx supersedes rent-roll-certified.xlsx, which in turn had superseded the 2026-06-30 archive
Suite 045 possession	pending	active	revision-notice.pdf p.1; rent-roll-revised.xlsx D49
Suite 045 scheduled rent	\$1,925	\$2,150	Increase of \$225 per revision-notice.pdf p.1
Capitalization rate	5.7500%	6.0000%	Plus 25 basis points
Sizing rate	6.2500%	7.0000%	Initial sizing rate plus 75 basis points

WHAT THOSE FIVE CHANGES MOVED

FIELD	REVISION 1	REVISION 2	CHANGE	DRIVER
occupied_units	44	45	+1	Suite 045 possession
pending_units	1	0	-1	A true zero, not unknown
unit_occupancy	0.9167	0.9375	+0.0208	45 of 48
area_occupancy	0.9123	0.9375	+0.0252	Now equal to unit occupancy
type_c_occupied	14	15	+1	Suite 045 is a 2BR
annual_in_place_rent	\$894,600	\$920,400	+\$25,800	Suite 045 enters in-place at \$2,150
gross_potential_rent	\$974,400	\$977,100	+\$2,700	Rent increase only; GPR already credited all 48
uw_egi	\$942,480	\$945,045	+\$2,565	GPR uplift net of the 5% loss factor
uw_operating_expenses	\$301,106	\$301,183	+\$77	Management fee only, at 3% of a larger EGI
uw_noi	\$641,374	\$643,862	+\$2,488	Flows from EGI
uw_ncf	\$626,974	\$629,462	+\$2,488	Reserves unchanged
capitalization_value	\$11,154,323	\$10,731,028	-\$423,296	Wider cap rate overwhelms higher NOI
Annuity factor	162.4122	150.3076	-12.1046	75 bp over 360 monthly periods
maximum_loan	\$6,788,545	\$6,307,523	-\$481,022	DSCR still binds; the shorter annuity factor is the whole story
net_cash_out	\$2,475,660	\$1,999,448	-\$476,212	Smaller loan against an unchanged payoff
Achieved LTV	60.86%	58.78%	-2.08 pts	Loan falls faster than value
Achieved debt yield	9.24%	9.98%	+0.74 pts	Higher NCF on a smaller loan
risk_pending_in_occupancy	present	absent	Resolved	No pending suite remains to be miscounted

Expressly unchanged. unit_001_monthly_rent stays \$1,850 — the revision notice states prior executed Suite 001 amendments continue to apply. Total units, total area, the 16/16/16 mix, type_a and type_b occupied counts, all four expense inputs, reserves, every loan constraint, the note rate and floor, the \$4,200,000 payoff, the 1% fee, \$45,000 of closing costs, reported_t12_noi of \$604,128, the \$2,000,000 insurance limit and the 2029-08-31 expirations are all carried forward untouched.

The net effect is negative. The operational news is good — one more suite occupied and \$2,700 more scheduled rent — but it is swamped by the two rate moves. Value falls \$423,296 and loan proceeds fall \$481,022. Of that, essentially all of the loan reduction traces to the 75 bp sizing rate increase, because coverage rather than value is the binding test. The 25 bp cap rate widening cuts value but costs nothing in proceeds, since the LTV cap was never the constraint.

Each of the eight risk fields was re-tested against the revised packet rather than carried forward by assumption. Only one score changed. All missing diligence items remain open: the revision supplied no photographs, no asking price, no comparables, no sponsor history and no completed legal, environmental, condition or title work.

SECTION 01

Executive summary

Magnolia Terrace is a 48-unit, 40,800 square foot multifamily community in Raleigh, North Carolina, offered at 93.75% physical occupancy with a uniform 2029 lease expiry across every suite. The revised certified rent roll dated 2026-09-01 shows 45 suites in possession, no suite pending, and three vacant suites. On the prescribed stabilized underwriting the asset produces \$643,862 of net operating income before reserves, which capitalizes at the revised 6.0000% rate to \$10,731,028.

WHAT THE NUMBERS SAY

- **Income is contractually locked, not speculative.** Every active lease expires 2029-08-31, roughly three years past the analysis date. There is no near-term rollover exposure at all — zero active suites expire inside the next twelve months.
- **The underwritten NOI sits \$39,734 above the reported T-12 NOI.** That gap is not an accounting adjustment. It is driven by the prescribed gross potential rent basis, which credits all 48 suites rather than the 45 actually collecting, plus \$16,800 of other income, net of a 5% economic loss and a 3% management fee that the historical ledger does not carry as a separate line.
- **Debt capacity is constrained by coverage, not by value.** At a 1.25x minimum DSCR on net cash flow the loan sizes to \$6,307,523, which is only 58.78% of capitalized value and carries a 9.98% debt yield. Both the 65% LTV cap and the 9% debt yield floor have widened their headroom since revision 1; coverage remains the binding test.
- **The refinance still clears, with a thinner cushion.** After the \$4,200,000 existing payoff, a 1% origination fee and \$45,000 of closing costs, net cash-out is a positive \$1,999,448 — down \$476,212 from revision 1. No additional sponsor equity is required.

SOURCE CONFLICTS IDENTIFIED AND RESOLVED

The packet now contains two superseded rolls alongside contemporaneous controlling documents. Three discrepancies were found. All three are resolvable from the documents themselves and none is left open.

CONFLICT	RESOLUTION	GOVERNING EVIDENCE
Three rent rolls with different rents and statuses	Strict date precedence. The 2026-09-01 revised roll controls. The 2026-08-31 certified roll and the 2026-06-30 archive are both excluded, and neither contributes a figure to this memorandum.	rent-roll-revised.xlsx B2; rent-roll-certified.xlsx B2; rent-roll-archive.xlsx B2; revision-notice.pdf p.1
Manager's 45-of-48 leased headline	In revision 1 this overstated physical occupancy by counting a pending suite. Suite 045 has now taken possession, so the headline and physical occupancy have converged at 45. The convergence is a fact change, not a correction of the earlier finding.	manager-cover.pdf p.1; rent-roll-revised.xlsx D49; revision-notice.pdf p.1
Revised roll still shows Suite 001 at \$1,500/mo	The amendment was executed by both parties 2026-07-20 and took effect 2026-08-01, and the revision notice expressly continues prior executed Suite 001 amendments. Controlling rent remains \$1,850/mo.	lease-001.pdf p.1; lease-correspondence.pdf p.1

One definitional point worth stating plainly. The executed Suite 001 amendment raises in-place rent to \$1,850 per month, but gross potential rent is deliberately struck at the pre-amendment revised schedule of \$977,100 because the underwriting instructions prescribe that basis and the revision left it in place. In-place rent and prescribed gross potential rent are two different measures serving two different purposes. This is a definitional separation, not an inconsistency, and both figures are reported.

THE HONEST COUNTERWEIGHT

The strengths above rest on a narrow evidentiary base. There is no market rent or sales evidence in the packet, which means the 6.0000% capitalization rate is an instruction rather than a market conclusion, and no view can be formed on whether in-place rents sit above or below market. Two point-in-time rolls two months apart still support no occupancy trend. The revision also cuts both ways: occupancy improved, but the same notice widened the cap rate and the sizing rate, and the net effect on both value and proceeds is negative. Five of the eleven documents describe assumptions or instructions rather than verified facts, and four principal diligence workstreams remain open. A buyer should treat the value and loan figures here as arithmetic on prescribed inputs, correctly executed, rather than as a market-tested valuation.

SECTION 02

Property and unit / suite mix

Magnolia Terrace comprises 48 residential suites totaling 40,800 rentable square feet, distributed in a perfectly even 16/16/16 split across three floor plans. The manager's cover note maps unit groups A, B and C in order to Studio, one-bedroom and two-bedroom, and that mapping is used throughout this memorandum. The revision changed no suite count, plan or area — only one suite's status and rent.

UNIT MIX BY MANAGER GROUP

GROUP	FLOOR PLAN	AREA (SF)	TOTAL UNITS	OCCUPIED	PENDING	VACANT	TOTAL AREA (SF)	SCHEDULED RENT /MO	RENT PER SF /MO
A	Studio	700	16	15	0	1	11,200	\$24,000	\$2.14
B	1 Bedroom	820	16	15	0	1	13,120	\$26,400	\$2.01
C	2 Bedroom	1,030	16	15	0	1	16,480	\$31,025	\$1.88
Total / weighted		850	48	45	0	3	40,800	\$81,425	\$2.00

Scheduled rent is the revised roll rent before the Suite 001 amendment, consistent with the prescribed gross potential rent basis. Group C's scheduled rent of \$31,025 reflects fifteen 2BR suites at \$1,925 plus Suite 045 at its revised \$2,150. Each plan now has exactly 15 of 16 suites occupied and one vacant.

SCHEDULED RENT BY PLAN

FLOOR PLAN	MONTHLY RENT PER UNIT	ANNUALIZED PER UNIT	SHARE OF TOTAL AREA	SHARE OF SCHEDULED RENT
Studio (Group A)	\$1,500	\$18,000	27.5%	29.5%
1 Bedroom (Group B)	\$1,650	\$19,800	32.2%	32.4%
2 Bedroom (Group C)	\$1,925 / \$2,150	\$23,269 avg	40.4%	38.1%
All suites	\$1,696 avg	\$20,356	100.0%	100.0%

PHYSICAL CHARACTERISTICS

Total suites	48	Capitalized value per unit	\$223,563
Total rentable area	40,800 SF	Capitalized value per SF	\$263.02
Average suite size	850 SF	UW NOI per unit	\$13,414
Occupied area	38,250 SF	Site area / parking	Not supplied
Area occupancy	93.75%	Year built / renovated	Not supplied

Capital item noted. The operating statement references a roof replacement and classifies it as a capital improvement. No dollar amount, completion date, scope or warranty documentation is supplied, and the property condition assessment is not complete. The cost of that work is explicitly unknown, which is not the same as zero — the \$0 shown in the T-12 repairs line means no recurring repair component was booked there, not that the roof was free.

Area occupancy and unit occupancy now coincide at 93.75%, because exactly one suite of each plan is vacant — suites 046, 047 and 048. In revision 1 area occupancy trailed unit occupancy, since the unoccupied set was weighted toward larger two-bedroom plans.

SECTION 03

Lease and occupancy analysis

UNIT OCCUPANCY 0.9375 45 of 48 suites	AREA OCCUPANCY 0.9375 38,250 of 40,800 SF	IN-PLACE RENT \$920,400 Annual, amendment applied	NEAR-TERM EXPIRIES 0 Next 12 months
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POSSESSION STATUS RECONCILIATION

STATUS	UNITS	AREA (SF)	MONTHLY RENT	TREATMENT IN THIS ANALYSIS
Active — in possession	45	38,250	\$76,700	Counted as occupied. Basis for in-place rent.
Pending — leased, no possession	0	0	\$0	None remain. A true zero, not an unknown.
Vacant	3	2,550	\$5,075	Suites 046, 047, 048. Excluded from occupancy and in-place rent.
Total	48	40,800	\$81,775	All 48 credited in prescribed GPR.

Monthly rent column reflects the executed Suite 001 amendment, so the active total is \$76,700 rather than the \$76,350 shown on the unamended revised roll. Suite 045 contributes \$2,150 of that total at its revised rent.

The pending-occupancy discrepancy has closed on the facts. In revision 1 the manager's 45-of-48 leased headline overstated physical occupancy, because it counted suite 045 while the roll's own note recorded that pending means not yet in possession. Suite 045 has since taken possession, so the headline and physical occupancy now agree at 45 of 48.

Two points are worth keeping straight. First, the earlier finding was correct when made and is preserved in the archived revision 1 documents; it was resolved by a change in the facts, not by a change of view. Second, pending_units is now zero because no suite is pending, which is a measured zero and not a gap in the record. The prescribed gross potential rent basis still credits all 48 suites by instruction, which remains a separate stabilized assumption rather than an occupancy claim.

SUITE 001 — CONTROLLING RENT DETERMINATION

DOCUMENT	DATE / STATUS	MONTHLY RENT EFFECT	CONTROLLING?
lease-001.pdf — executed lease, Suite 001, 700 SF	Expiry 2029-08-31; \$3,000 deposit	\$1,500 base	Yes, as amended
lease-correspondence.pdf — signed amendment	Executed 2026-07-20; effective 2026-08-01	+\$350	Yes — controls
revision-notice.pdf — revision instruction	Effective 2026-09-01	No change	Expressly continues the amendment
Controlling rent at 2026-09-01 (unit_001_monthly_rent)		\$1,850	—

The amendment is fully executed by both parties, its effective date precedes the analysis date, and the revision notice states that prior executed Suite 001 amendments continue to apply, so it governs. The revised roll still shows \$1,500 in its rent column; that is the unamended schedule, not a reversal. The lease also confirms that no free-rent concession applies as of the evaluation date. No unsigned rent proposal appears anywhere in the packet — the Suite 001 change is a signed amendment and the Suite 045 change comes from a manager revision instruction carried onto the certified roll.

LEASE EXPIRATION SCHEDULE

LEASE YEAR ENDING	ACTIVE SUITES EXPIRING	% OF OCCUPIED UNITS	EXPIRING MONTHLY RENT	ASSESSMENT
2027-08-31 (next 12 months)	0	0.0%	\$0	No near-term rollover
2028-08-31	0	0.0%	\$0	None
2029-08-31	45	100.0%	\$76,700	Full-portfolio concentration
Total	45	100.0%	\$76,700	—

Read this schedule both ways. Near-term rollover risk is absent by the underwriting definition — an active expiry inside twelve months of the 2026-09-01 as-of date — and zero suites qualify. But the same uniformity means the entire rent roll turns over on a single day in 2029, and newly active Suite 045 shares that same expiry rather than diversifying it. That concentration falls outside the near-term horizon and is correctly scored absent for the risk field, yet a buyer holding past 2029 inherits a single-date renewal event covering 100% of income. It is disclosed here rather than buried.

SECTION 04

Historical versus underwritten financials

Three distinct measures appear below and are labeled separately: **reported T-12 NOI**, the historical cash result for the twelve months ended 2026-08-31; **underwritten NOI**, a forward stabilized figure struck on prescribed assumptions before reserves; and **underwritten NCF**, that same figure after replacement reserves. They are not interchangeable and only NCF is used for coverage tests. The revision supplied no new operating statement, so the historical column is identical to revision 1; only the underwritten column moves.

ACCOUNT	T-12 ACTUAL	UNDERWRITTEN	VARIANCE	COMMENT
Rental and ancillary collections / EGI	\$876,960	\$945,045	\$68,085	Historical collections are cash received, not an annualized rent-roll total.
Operating expenses (parentheses denote expense in the source statement)				
Real estate tax	(\$102,312)	(\$102,312)	\$0	Prescribed at the actual. No reassessment view is supplied.
Insurance expense	(\$34,104)	(\$34,104)	\$0	Prescribed at the actual.
Other recurring operating expenses	(\$136,416)	(\$136,416)	\$0	Prescribed at the actual.
Management fee @ 3% of EGI	—	(\$28,351)	(\$28,351)	Not a separate T-12 line. A real economic addition, not a reclassification.
Roof replacement booked in repairs	\$0	\$0	\$0	Reported at zero. Capital, with no recurring repair component included.
Total operating expenses	(\$272,832)	(\$301,183)	(\$28,351)	Underwritten figure is before reserves.
Reported T-12 NOI / underwritten NOI	\$604,128	\$643,862	\$39,734	Before reserves in both columns.
Replacement reserves @ \$300/unit	—	(\$14,400)	(\$14,400)	Not a T-12 cash line. Deducted below NOI.
Underwritten NCF (after reserves)	unknown	\$629,462	—	No historical equivalent is reported.

T-12 period 2025-09-01 through 2026-08-31, cash basis, amounts in USD and not thousands. Reported NOI of \$604,128 ties exactly to \$876,960 less \$102,312, \$34,104 and \$136,416.

UNDERWRITTEN INCOME BUILD

LINE	AMOUNT	DERIVATION
Gross potential rent	\$977,100	All 48 suites at revised scheduled rent, before the Suite 001 amendment: \$81,425 × 12
Less economic loss @ 5%	(\$48,855)	Prescribed vacancy and credit allowance, rate unchanged
Plus other income	\$16,800	\$350 per suite × 48. Reimbursements already inside GPR and not added twice
Underwritten EGI	\$945,045	—
Less operating expenses	(\$301,183)	Tax, insurance, other recurring unchanged, plus 3% management on the higher EGI
Underwritten NOI (before reserves)	\$643,862	Capitalized figure
Less replacement reserves	(\$14,400)	\$300 × 48, unchanged
Underwritten NCF (after reserves)	\$629,462	Basis for DSCR and debt yield

On the \$39,734 NOI uplift. It is not cost savings. Roughly \$68,085 of incremental income arises because the prescribed GPR credits all 48 suites rather than the 45 collecting, and adds \$16,800 of other income, net of the 5% loss factor. Against that, a 3% management fee of \$28,351 is added that the T-12 never carried. Only \$2,488 of the uplift versus revision 1 reflects the real Suite 045 rent increase; the rest was already assumption-driven. A buyer should read this as a prescribed figure, not a demonstrated result.

Margins. Underwritten NOI margin on EGI is 68.13% and the expense ratio before reserves is 31.87%, or \$6,275 per unit — essentially flat versus revision 1, since only the management fee moved. Without market operating comparables in the packet, no view is offered on whether that load is competitive.

Insurance appears twice in this packet in two unrelated senses. The \$34,104 above is the annual insurance expense. The \$2,000,000 in the insurance record is a general liability aggregate coverage limit, effective 2026-07-01 through 2027-06-30. Neither figure was changed by the revision. The two are not comparable and neither substitutes for the other.

SECTION 05

Debt sizing and sources & uses

VALUATION

LINE	VALUE	BASIS
Underwritten NOI before reserves	\$643,862	Per Section 04
Capitalization rate	6.0000%	Revised: 5.7500% initial plus 25 bp. A prescribed instruction, not a market-derived conclusion
Capitalized value	\$10,731,028	\$643,862 ÷ 0.0600. Was \$11,154,323

SIZING CONVENTIONS

PARAMETER	VALUE	NOTE
Note rate (original, unchanged)	6.2500%	Original contract rate. Retained for the floor-binding test
Underwriting rate floor (unchanged)	6.0000%	Still lower than the original note rate
Initial sizing rate	6.2500%	Greater of note rate and floor
Sizing rate applied (revised)	7.0000%	Initial 6.2500% plus 75 bp per revision-notice.pdf p.1. The floor still does not bind
Amortization	30 years, monthly	Sized on a fully amortizing payment even though months 1–24 are interest-only
Annuity factor	150.3076	Present value of \$1 per month at 0.583333% for 360 periods. Was 162.4122

THREE-CONSTRAINT SIZING TEST

CONSTRAINT	TEST	IMPLIED LOAN	RESULT
Maximum LTV 65.00%	0.65 × \$10,731,028	\$6,975,168	Not binding — \$667,645 of headroom
Minimum DSCR 1.25x on NCF	(\$629,462 ÷ 1.25 ÷ 12) × 150.3076	\$6,307,523	BINDING
Minimum NCF debt yield 9.00%	\$629,462 ÷ 0.09	\$6,994,018	Not binding — \$686,495 of headroom
Maximum loan (most restrictive)		\$6,307,523	DSCR-constrained. Was \$6,788,545

ACHIEVED METRICS AT THE SIZED LOAN

Monthly principal & interest	\$41,964.11
Annual debt service	\$503,569
DSCR on NCF	1.2500x (at minimum)
NCF debt yield	9.98%
LTV	58.78%
Loan per unit	\$131,407
Interest-only annual cost (mo. 1–24)	\$441,527
DSCR during interest-only window	1.4256x

SOURCES AND USES

Sources	
New sized loan	\$6,307,523
Additional sponsor equity	\$0
Total sources	\$6,307,523
Uses	
Existing loan payoff (unchanged)	\$4,200,000
Origination fee @ 1.00%	\$63,075
Closing costs (unchanged)	\$45,000
Net cash-out to sponsor	\$1,999,448
Total uses	\$6,307,523

SENSITIVITY — MAXIMUM LOAN BY CAP RATE AND SIZING RATE

CAP RATE ↓ / SIZING RATE →	6.5000%	6.7500%	7.0000%	7.2500%	7.5000%
5.5000%	\$6,639,176	\$6,469,971	\$6,307,523	\$6,151,505	\$6,001,607
5.7500%	\$6,639,176	\$6,469,971	\$6,307,523	\$6,151,505	\$6,001,607
6.0000% (prescribed)	\$6,639,176	\$6,469,971	\$6,307,523	\$6,151,505	\$6,001,607
6.2500%	\$6,639,176	\$6,469,971	\$6,307,523	\$6,151,505	\$6,001,607
6.5000%	\$6,438,617	\$6,438,617	\$6,307,523	\$6,151,505	\$6,001,607

This is the clearest read on the revision. Proceeds are flat across the entire cap rate column, because coverage rather than value is the binding test — which is why the 25 bp cap rate widening cost \$423,296 of value but nothing in loan capacity. Only at 6.5000% or wider does the LTV cap take over. Rate movement passes straight through: each 25 basis point increase in the sizing rate costs roughly \$160,000 of proceeds, so the instructed 75 bp increase accounts for the entire \$481,022 reduction in the loan.

SECTION 06

Risks and missing diligence

Each risk below was re-assessed independently against the revised packet rather than carried forward from revision 1. One score changed. Where a source conflict exists, it is explained and resolved rather than left open.

RISK	STATUS	ASSESSMENT AND EVIDENCE
risk_pending_in_occupancy	ABSENT	CHANGED from present. Suite 045 has taken possession per revision-notice.pdf p.1 and rent-roll-revised.xlsx D49, so no pending suite exists to be miscounted. The manager's 45-of-48 headline now equals physical occupancy. The revision 1 finding was correct when made and is preserved in the archived revision 1 documents; it closed because the facts changed, not because the assessment was withdrawn.
risk_near_term_rollover	ABSENT	Unchanged. All 45 active leases expire 2029-08-31, well beyond the 2027-08-31 horizon measured from the revised as-of date. Newly active Suite 045 shares that same expiry. Zero active suites expire near-term; the 2029 single-date concentration is disclosed in Section 03 but is outside the defined horizon.
risk_missing_insurance	ABSENT	Unchanged. The declaration remains in force at the revised 2026-09-01 as-of date: \$2,000,000 general liability aggregate, effective 2026-07-01 through 2027-06-30. No revised insurance record was supplied and none was needed. Coverage adequacy relative to replacement cost is untested because no valuation or property condition report exists.
risk_capital_in_opex	ABSENT	Unchanged. Assessed on the reported historical ledger classification, which the revision does not touch. The operating statement books the roof replacement in repairs at \$0 and states expressly that the roof is a capital improvement with no recurring repair component included. No capital cost sits inside operating expenses, so no add-back or expense scrub is warranted.
risk_unsigned_rent_change	ABSENT	Unchanged, and re-tested against the two rent changes now in the packet. Suite 001 changed by an amendment executed by both parties on 2026-07-20. Suite 045 changed by a manager revision instruction already reflected on the certified roll itself, not by a proposal awaiting signature. No unsigned rent proposal exists anywhere in the packet.
risk_temporary_free_rent	ABSENT	Unchanged. The Suite 001 lease states directly that no free-rent concession applies as of the evaluation date, and the revision notice states all other lease details remain unchanged. Newly active Suite 045 shows no concession, abatement or inducement, and its rent rose rather than abated.
risk_sizing_floor_binding	ABSENT	Unchanged. The test compares the ORIGINAL note rate of 6.2500% against the 6.0000% underwriting floor; the note rate is greater and governs, so the floor does not bind. The 75 bp revision lifts the applied sizing rate to 7.0000% and widens the gap to the floor further, which cannot make the floor binding.
risk_refinance_shortfall	ABSENT	Unchanged in status, narrower in cushion. At the sized loan of \$6,307,523, proceeds cover the unchanged \$4,200,000 payoff, a \$63,075 origination fee and \$45,000 closing costs with \$1,999,448 remaining. Net cash-out stays positive, so no additional sponsor equity is required, but the cushion fell \$476,212 from revision 1.

The material limitation, stated plainly. All eight scored risks are now absent, which reads very well and should be discounted accordingly. The absence of market evidence remains the dominant open item and it is not scored as a risk field at all. Nor is the revision unambiguously good news: occupancy improved by one suite while the same notice widened the cap rate and the sizing rate, cutting value by \$423,296 and proceeds by \$481,022. Value and loan capacity here are arithmetic on prescribed inputs, executed correctly and traceable to source. They are not a market-tested valuation, and no reader should treat them as one until comparables, condition and title work are complete.

Missing diligence — explicitly unknown, not zero

None of the items below is stated as zero, absent or immaterial. Each is unknown because the packet does not contain it, and the revision supplied nothing new against any of them.

ITEM	STATUS AND CONSEQUENCE
Legal review	Not complete. Routine pending diligence, not a finding of a defect.
Environmental review	Not complete. No evidence of contamination is supplied and none is asserted.
Property condition assessment	Not complete. No evidence of structural failure is supplied and none is asserted. Roof replacement scope, cost and warranty remain unverified; the revision supplied no condition work.
Title review	Not complete. Routine pending diligence.
Photographs and imagery	Not supplied. Not created.
Asking price / pricing guidance	Not supplied. No price expectation is stated anywhere in this package.
Market sales comparables	Not supplied, and none came with the revision. The 6.0000% cap rate is a prescribed input, not a market conclusion, and the \$10,731,028 value carries no market corroboration. The instructed 25 bp widening has no stated market rationale in the packet.
Market rent comparables	Not supplied. No mark-to-market, loss-to-lease or rent growth conclusion can be drawn.
Sponsor / borrower history	Not supplied. No track record, credentials, net worth or liquidity.
Occupancy trend	Two point-in-time rolls two months apart. One suite moving from pending to active is not a trend, and no seasonality or turnover history is supplied.
Capital budget / roof cost	Described as capital but no amount is supplied. Unknown, distinct from zero.
Tax reassessment outlook	Not supplied. Tax is held flat at the T-12 actual per instruction, which may understate a post-sale reassessment.
Property address	Not represented. Original fictional evaluation property.
Revised operating statement	Not supplied with the revision. The T-12 remains the period ended 2026-08-31, so it does not yet reflect Suite 045 occupancy or its higher rent.
Market rationale for the rate moves	Not supplied. The +25 bp cap rate and +75 bp sizing rate are instructions with no stated market or credit basis in the packet.
Suite 045 lease document	Not supplied. Possession and the \$225 increase are evidenced by the revision notice and the certified roll, not by an executed lease in the packet.

Unknown is not zero. Every line above is carried as unknown rather than assumed away. Where a figure genuinely is zero it is labeled as such and distinguished: pending_units is zero because the revised roll shows no pending suite, and the roof replacement line in the T-12 repairs account is zero because the cost was classified as capital. Neither is a gap in the record.

What would move the analysis most. Market sales evidence, because it would replace a prescribed cap rate with a tested one and is the single largest source of value uncertainty. After that, market rent evidence, then the property condition assessment and the roof replacement cost.

SECTION 07

Source notes and document register

Eleven documents have been supplied across both rounds and all eleven are accounted for below. No external research, market data, third-party report or outreach of any kind was used.

DOCUMENT	STATUS	WHAT IT GOVERNS / WHAT IT DOES NOT ESTABLISH
revision-notice.pdf Page 1	Controlling (prescriptive)	Effective 2026-09-01. Supersedes the prior roll, moves Suite 045 to active with rent up \$225, raises the sizing rate 75 bp and the cap rate 25 bp, and directs the new roll be used for all-unit scheduled gross potential. Changes no expense input, loan constraint, payoff, fee or reserve, and expressly continues the Suite 001 amendment.
rent-roll-revised.xlsx Rent Roll!A1:G52	Controlling	As-of 2026-09-01. Governs unit count, floor plan, area, possession status, scheduled rent and expirations, and controls physical occupancy. Its rent column still shows Suite 001 at \$1,500 and does not reflect the amendment.
rent-roll-certified.xlsx Rent Roll!A1:G52	Superseded — excluded	Dated 2026-08-31 and superseded by the revised roll. Governs nothing now. Retained in the audit archive as the revision 1 basis; its Suite 045 pending status and \$1,925 rent are no longer current.
rent-roll-archive.xlsx Rent Roll!A1:G52	Stale — excluded	Dated 2026-06-30 and now superseded twice over. Governs nothing. Its lower rents of \$1,425, \$1,575 and \$1,850 are not current and were not used in any calculation.
lease-001.pdf Page 1	Controlling as amended	Suite 001 base terms: \$1,500 per month, 700 SF, expiry 2029-08-31, \$3,000 deposit. Confirms no free-rent concession at the evaluation date. Its \$1,500 rent is superseded by the amendment.
lease-correspondence.pdf Page 1	Controlling	Amendment executed by both parties 2026-07-20, effective 2026-08-01, raising Suite 001 rent by \$350 per month with all other terms unchanged. Expressly continued by the revision notice. Does not alter the prescribed pre-amendment GPR basis.
manager-cover.pdf Page 1	Context and mapping	Property identity, market and asset type. Establishes the A/B/C to Studio/1BR/2BR mapping used here, and the approved copy preserved verbatim on the cover. Its 45-of-48 headline now coincides with physical occupancy, but only because possession changed; certified detail still controls.
operating-statement.pdf Page 1	Controlling (historical)	T-12 cash results 2025-09-01 to 2026-08-31, reported NOI \$604,128, roof replacement booked at \$0 in repairs. Unchanged by the revision; no restated statement was supplied. Historical collections are not an annualized rent-roll total and are not the underwritten EGI.
insurance.pdf Page 1	Controlling	General liability aggregate limit \$2,000,000, effective 2026-07-01 to 2027-06-30. The limit is not the insurance expense; the expense is \$34,104.
underwriting-instructions.pdf Page 1	Controlling (prescriptive)	All underwriting assumptions, loan constraints, sizing conventions and risk definitions, except the cap rate, sizing rate and roll selection amended by the revision notice. Supplies no photographs, asking price, market comparables or sponsor history, and instructs that their absence be labeled rather than filled.
diligence-status.pdf Page 1	Scope limitation	States that legal, environmental, property condition and title reviews are not complete and are routine pending diligence. Supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted anywhere in this memorandum.

COMPANION WORKBOOK

Every figure in this memorandum is reproduced with live formulas in **magnolia-terrace-underwriting-rev2.xlsx**. Cell addresses are unchanged from revision 1, so the maps remain valid: designated inputs are Inputs!B5 (gross_potential_rent), Inputs!B14 (cap_rate) and Inputs!B17 (sizing_rate); designated outputs are Underwriting!B8 (uw_egi), Underwriting!B15 (uw_noi), Underwriting!B17 (uw_ncf), Underwriting!B20 (capitalization_value), Debt!B13 (maximum_loan) and Debt!B34 (net_cash_out). The workbook adds a Revision Log sheet and an Inputs rate-derivation block showing the +25 bp and +75 bp adjustments arriving at the revised rates. The revision 1 workbook and memorandum are retained unchanged in the audit archive.

Source-backed analysis. Assumptions remain subject to diligence.

Named field register

All 41 reported fields as of 2026-09-01, with value, unit and primary evidence location. Ratios are decimal values. Missing information is stated as unknown, which is distinct from zero — note that pending_units is now a measured zero, because no suite is pending, not a gap in the record. Page 2 shows every field that moved from revision 1 and every field that did not.

FIELD	VALUE	UNIT	EVIDENCE
total_units	48	units	rent-roll-revised.xlsx A5:A52
occupied_units	45	units	rent-roll-revised.xlsx D5:D52
pending_units	0	units	revision-notice.pdf p.1; rent-roll-revised.xlsx D49
total_area_sf	40,800	SF	rent-roll-revised.xlsx C5:C52
occupied_area_sf	38,250	SF	rent-roll-revised.xlsx C5:C49
unit_occupancy	0.9375	decimal	rent-roll-revised.xlsx D5:D52
area_occupancy	0.9375	decimal	rent-roll-revised.xlsx C5:C52, D5:D52
annual_in_place_rent	\$920,400	USD/yr	rent-roll-revised.xlsx E5:E49; lease-correspondence.pdf p.1
unit_001_monthly_rent	\$1,850	USD/mo	lease-001.pdf p.1; lease-correspondence.pdf p.1; revision-notice.pdf p.1
gross_potential_rent	\$977,100	USD/yr	revision-notice.pdf p.1; rent-roll-revised.xlsx E5:E52
uw_egi	\$945,045	USD/yr	underwriting-instructions.pdf p.1

FIELD	VALUE	UNIT	EVIDENCE
uw_tax	\$102,312	USD/yr	underwriting-instructions.pdf p.1; operating-statement.pdf p.1
uw_insurance	\$34,104	USD/yr	underwriting-instructions.pdf p.1; operating-statement.pdf p.1
uw_operating_expenses	\$301,183.35	USD/yr	underwriting-instructions.pdf p.1
uw_noi	\$643,861.65	USD/yr	underwriting-instructions.pdf p.1
uw_ncf	\$629,461.65	USD/yr	underwriting-instructions.pdf p.1
sizing_rate	0.0700	decimal	revision-notice.pdf p.1
cap_rate	0.0600	decimal	revision-notice.pdf p.1
capitalization_value	\$10,731,027.50	USD	revision-notice.pdf p.1
ltv_limit	0.65	decimal	underwriting-instructions.pdf p.1
dscr_limit	1.25	ratio	underwriting-instructions.pdf p.1

Workbook cell map, unchanged from revision 1. Designated inputs — gross_potential_rent Inputs!B5, cap_rate Inputs!B14, sizing_rate Inputs!B17. Designated outputs — uw_egi Underwriting!B8, uw_noi Underwriting!B15, uw_ncf Underwriting!B17, capitalization_value Underwriting!B20, maximum_loan Debt!B13, net_cash_out Debt!B34. The revised rate derivation sits at Inputs!B31:B36, and the change log is on the Revision Log sheet.

APPENDIX A — PART 2 OF 2

Named field register, continued

Risk fields are scored present, absent or unresolved. No field is left unresolved. All eight are now absent: risk_pending_in_occupancy moved from present to absent because Suite 045 took possession, and the three source conflicts identified in Section 01 are each explained and resolved from the documents themselves.

FIELD	VALUE	UNIT	EVIDENCE	FIELD	VALUE	UNIT	EVIDENCE
debt_yield_limit	0.09	decimal	underwriting-instructions.pdf p.1	type_c_units	16	units	manager-cover.pdf p.1; rent-roll-revised.xlsx B5:B52
maximum_loan	\$6,307,523.32	USD	underwriting-instructions.pdf p.1; revision-notice.pdf p.1	type_c_occupied	15	units	rent-roll-revised.xlsx B5:B52, D5:D52
net_cash_out	\$1,999,448.08	USD	underwriting-instructions.pdf p.1	risk_pending_in_occupancy	absent	flag	revision-notice.pdf p.1; rent-roll-revised.xlsx D5:D52
insurance_policy_limit	\$2,000,000	USD	insurance.pdf p.1	risk_near_term_rollover	absent	flag	rent-roll-revised.xlsx F5:F52
selected_roll_date	2026-09-01	date	rent-roll-revised.xlsx B2; revision-notice.pdf p.1	risk_missing_insurance	absent	flag	insurance.pdf p.1
reported_t12_noi	\$604,128	USD/yr	operating-statement.pdf p.1	risk_capital_in_opex	absent	flag	operating-statement.pdf p.1
type_a_units	16	units	manager-cover.pdf p.1; rent-roll-revised.xlsx B5:B52	risk_unsigned_rent_change	absent	flag	lease-001.pdf p.1; lease-correspondence.pdf p.1; revision-notice.pdf p.1
type_a_occupied	15	units	rent-roll-revised.xlsx B5:B52, D5:D52	risk_temporary_free_rent	absent	flag	lease-001.pdf p.1; revision-notice.pdf p.1
type_b_units	16	units	manager-cover.pdf p.1; rent-roll-revised.xlsx B5:B52	risk_sizing_floor_binding	absent	flag	underwriting-instructions.pdf p.1
type_b_occupied	15	units	rent-roll-revised.xlsx B5:B52, D5:D52	risk_refinance_shortfall	absent	flag	underwriting-instructions.pdf p.1; Debt!B34

Reading the risk scores. All eight are absent, which should be read with care rather than as reassurance. Absent means the packet affirmatively establishes the condition does not apply — no suite is pending, a current insurance declaration exists, no unsigned rent proposal exists, the lease rules out free rent, expiries fall outside the horizon, the original note rate exceeds the floor, the roof cost was not booked in operating expenses, and proceeds cover the payoff. Absent does not mean unexamined, and it does not extend to the market and diligence items catalogued in Section 06, which remain explicitly unknown. Nor does a clean risk table offset the revision's net effect: value fell \$423,296 and loan proceeds fell \$481,022.